



“Start-ups will be contributing 15 per cent of the GDP in five years... When India becomes a \$5-trillion economy, at least \$1 trillion should come from start-ups”

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In fact, the network of incubation centres in Tier II and III towns is very strong in India and there are many such centres spread across the country. The government has also played a key role in this.

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Are there challenges specific to start-ups in a small town, especially when scaling and moving to the big leagues?

People do talk about it and say that it happens with tech start-ups, but honestly speaking, that is not the reality any more. Maybe that was the case earlier, but now things have changed. Also, start-ups are no more only tech start-ups. Direct-to-consumer (D2C) start-ups, for instance, have mushroomed all over the country. Start-ups in India would be spread over 60-70 sectors and hence they are spread across the country. Our own portfolio has start-ups from well over 50 sectors and many are located in Tier II and III towns.

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How has the funding winter been for early-stage start-ups?

The situation has improved in the last quarter. Early-stage investments are happening and that is typical of any funding cycle in the start-up world. Whenever there are concerns, there is an impact in the unicorn and soonicorn space even as early-stage funding keeps rolling.

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Has profitability become a far more important metric for founders?

Profitability is definitely a focus now. All the start-ups that went to the stock markets have bottom line challenges and they are all struggling. Start-ups that are targeting IPOs will have to be profitable, or else they will not be able to survive in the stock markets. There is data to prove that. In fact, many of the start-ups coming from the Tier II and III towns are already profitable because that culture is clearly there in those places. To mitigate the losses, a start-up takes leverage and then if it is unable to secure future funding rounds, then valuations take a hit. A little bit of financial discipline is required.

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How do you see the start-up ecosystem progressing in the next five years?

There will be at least a million start-ups in the country in the next five years. You will see more than 500 unicorns in India. Start-ups will be contributing at least 15 per cent of the GDP by that time. A lot of Tier II and III cities may take the lead and emerge as start-up hubs, as incubation centres, and angel networks are already there. When India becomes a \$5-trillion economy, at least \$1 trillion should come from the start-up segment. **BT**

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